was upgraded, with more participants after an agreement between Modi and Obama, and a joint naval exercise was held by the United States, India, and Japan in the Bay of Bengal.

India's fleet is the strongest in the region, with aircraft carriers, submarines, and over 90 other kinds of ships. The Indian Navy is currently undergoing a modernization drive to upgrade its submarines and other vessels, especially those that can detect foreign submarines. Meanwhile, China has invested in a number of port projects in the region: Kyaukphyu in Myanmar, Chittagong in Bangladesh, Hambantota in Sri Lanka, and, most important of them all, Gwadar in Pakistan. The deep-sea port in Gwadar combined with the Karakoram Highway, which was opened in 1979 and connects northern Pakistan with Xinjiang, gives western China a direct outlet to the Indian Ocean. China is basically a huge inland empire with a relatively short coastline for a country of its size and its landlocked inland provinces depend on outlets through neighbouring countries for trade with the outside world. Kyaukphyu in Myanmar was designed to fulfil the same function for Yunnan and other southwestern Chinese provinces, from where it is a long way to China's own ports. Chinese plans to open a trade route from Tibet through Sikkim down to the port of Kolkata have not been met with enthusiasm in India, and may never materialize.

The future of the Kyaukphyu port facility, and pipelines for oil and gas that China has built from there to Yunnan to bypass the potential chokepoint at the Malacca Strait, through which most of its oil supplies now have to go, is also not clear since the Myanmar government has adopted a new foreign policy and the country no longer wants to be seen as a Chinese client state. So, while arms continue to flow to the UWSA, here, too, as in India's northeast, China does not want to see another war break out. It is China's way of putting pressure on its neighbours in order to exert its influence over them in the post-Mao era.

It may seem as if China's interests are only about trade and economic development, but given the importance of the transportation of China's oil supplies from the Middle East, it is hardly surprising that Beijing is also pursuing a defence umbrella to secure such vital lines of communication. In 2005, the US consulting firm Booz Allen Hamilton coined the expression 'String of Pearls' to describe China's port projects in the Indian Ocean, which now also include Obock in Djibouti in the Horn of Africa. China